Preferred Stocks Need Both Specific Protective Provisions and Voting Power for Their Protection. These considerations confirm our previously expressed criticisms of the preferred stock form as an investment medium. It is not particularly difficult to safeguard these issues against the withdrawal of junior capital; this is frequently done and should always be done.[10] But to deal satisfactorily from the preferred stockholders' standpoint with conditions resulting in a profit-and-loss deficit is a difficult matter. It requires, above all, complete control of the corporation's policies by directors representing the preferred issue. This serves to emphasize the importance of adequate voting power for preferred stockholders in the event of nonpayment of dividends.

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example in his vigorous and lengthy dissent from the Commission's order of Jan. 30, 1939, approving issuance of North American Company 6% Preferred Stock.

In this dissent he makes the interesting suggestion that preferred stockholders can escape the dilemma we have discussed if the stated value of the common is reduced to a low figure and a large special capital surplus thereby created, against which losses could be charged which otherwise would result in an impairment of capital. Coupled with this device is the suggestion that, when a substantial reduction in this special capital surplus has taken place, voting control should pass to the preferred stock.

[10] For example, the charter of General American Investors Company, Inc., prohibits any dividend or other distribution on the common that will reduce net assets below $150 per share of preferred stock. The charter of Interstate Department Stores, Inc., requires the consent of holders of two-thirds of the preferred stock to any distribution to the holders of common stock of capital or surplus resulting from any statutory reduction of capital.